

When Does RSI Stop Working?

A dual-signal ShockBridge framework that preserves the original RSI question and separately tests Richard's corrected Bollinger Band signal.

Question	Model response
Original RSI question	Did RSI establish incremental value, in which filtered regimes, and has a sequential deterioration alarm now crossed the predictive and economic failure gates?
Corrected Bollinger question	Apply the same validation contract independently to Bollinger Band location, width, and crossing information.

Three-stage logic for each indicator

- 1. Establishment:** Does the indicator improve a non-indicator benchmark on unseen chronological data and after assumed costs?
- 2. Conditional validity:** Is the contribution concentrated in filtered range, trend, or stress regimes?
- 3. Failure:** If value was previously established, is an online CUSUM deterioration alarm active while recent predictive and economic contributions are non-positive?

The direct answer

NOT ESTABLISHED	The signal did not prove an edge; it cannot be said to have stopped working.
ACTIVE	The signal remains incrementally useful under the current monitoring rule.
REDUCED	The signal has conditional or weakening value.
SUSPENDED	The signal previously worked, but the declared structural and recent-performance gates now indicate failure.

Bridge between RSI and Bollinger Bands

RSI and Bollinger Bands are not merged into one concept. Each receives its own conclusion. The combined model is a secondary test of whether momentum and volatility-position information are complementary.